

Calendar Line # 10
Case Name Raymond Harris vs Ford Motor Company et al
Case No. 25CV468861
Judgment on the Pleadings Before the court is defendant Ford Motor Company’s motion for judgment on the pleadings. Pursuant to California Rule of Court 3.1308, the court issues its tentative ruling as follows. <u>I. BACKGROUND</u> On or about May 21, 2022, plaintiff Raymond H. Harris (“Harris”) entered into a warranty contract with defendant Ford Motor Company (“Ford”) regarding a 2022 Ford Maverick vehicle, vehicle identification number 3FTTW8E36NRA62829 (“Subject Vehicle”) manufactured and/or distributed by defendant Ford. (Complaint, ¶¶7 – 8 and Exh. A). Defects and nonconformities to warranty manifested themselves within the applicable express warranty period including, but not limited to, engine defects, transmission defects, electrical defects, among other defects and non-conformities. (Complaint, ¶12). Plaintiff Harris alleges defendant Ford concealed a known defect from her. (Complaint, ¶52). The 2.5L engine and/or its related components installed in the Subject Vehicle suffer from one or more defects that can result in the loss of power, stalling, engine running rough, engine misfires, failure or replacement of the engine (“Engine Defect”). (Complaint, ¶53). Prior to sale of the Subject Vehicle, defendant Ford knew or should have known about the Engine Defect through its exclusive knowledge of non-public, internal data including pre-release test data, early consumer complaints to defendant Ford’s dealers, dealership repair orders, testing conducted in response to complaints, and other internal sources of information possessed exclusively by defendant Ford and its agents. (Complaint, ¶¶57, 59, 62, 63, 64, 65, 76). Nevertheless, defendant Ford and its agents actively concealed the Engine Defect and failed to disclose this defect to plaintiff at the time of his purchase of the Subject Vehicle or thereafter. (<i>Id.</i>). Defendant either refused to acknowledge the existence of the defects or performed superficial and ineffectual repairs that masked the symptoms of the Engine Defect. (Complaint, ¶¶59, 75, 77, 78). If plaintiff knew about these defects at the time of sale, plaintiff would not have purchased the Subject Vehicle. (Complaint, ¶60). On June 23, 2025, plaintiff Harris filed a complaint against defendant Palm Springs Ford (“PS Ford”) asserting causes of action for: (1) Violation of Subdivision (d) of Civil Code Section 1793.2 [against defendant Ford] (2) Violation of Subdivision (b) of Civil Code Section 1793.2 [against defendant Ford] (3) Violation of Subdivision (a)(3) of Civil Code Section 1793.2 [against defendant Ford] (4) Breach of the Implied Warranty of Merchantability [against defendant Ford] (5) Negligent Repair [against defendant PS Ford] (6) Fraudulent Inducement – Concealment [against defendant Ford] On October 22, 2025, defendant Ford filed an answer to plaintiff Harris’s complaint. On November 6, 2025, defendant PS Ford filed an answer to plaintiff Harris’s complaint. On July 16, 2026, defendant Ford filed the motion now before the court, a motion for judgment on the pleadings directed at plaintiff Harris’s sixth cause of action for fraudulent inducement – concealment. <u>II. LEGAL STANDARD</u>

The required elements for fraudulent concealment are (1) concealment or suppression of a material fact; (2) by a defendant with a duty to disclose the fact; (3) the defendant intended to defraud the plaintiff by intentionally concealing or suppressing the fact; (4) the plaintiff was unaware of the fact and would have acted differently if the concealed or suppressed fact was known; and (5) the plaintiff sustained damage as a result of the concealment or suppression of the material fact. (*Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 40 (*Rattagan*)).

III. ANALYSIS

A. SPECIFICITY

In moving for judgment on the pleadings as to plaintiff Harris's sixth cause of action for fraudulent inducement-concealment, defendant Ford contends the complaint is defective in that plaintiff Harris has not pleaded the claim with the requisite specificity.

Though the particularity requirement generally mandates that a plaintiff plead facts establishing the aforementioned items, it is much more difficult to apply this rule in a case of non-disclosure because, as one court explained, "[h]ow does one show 'how' and 'by what means' something didn't happen, or 'when' it never happened, or 'where' it never happened?" (*Alfaro v. Community Housing Imp. System & Planning Ass'n., Inc.* (2009) 171 Cal.App.4th 1356, 1384). One of the purposes of the specificity requirement is to provide "notice to the defendant, to furnish the defendant with certain definite charged which can be intelligently met." (*Committee on Children's Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 216, internal quotations omitted). However, when "it appears from the nature of the allegations that the defendant must necessarily possess full information concerning the facts of the controversy, even under strict rules of common law pleading, one of the canons was that less particularity is required when the facts lie more in the knowledge of the opposite party . . .". (*Id.*, at p. 217).

However, the *Rattagan* court declined to allow a more relaxed pleading standard for claims of concealment, explaining:

California courts apply the same specificity standard to evaluate the factual underpinnings of a fraudulent concealment claim at the pleading stage, even though the focus of inquiry shifts to the unique elements of the claim. [Citations omitted]. For instance, in a case such as this, the court must determine whether the plaintiff has alleged a sufficient factual basis for establishing a duty of disclosure on the part of the defendant independent of the parties' contract. If the duty allegedly arose by virtue of the parties' relationship and the defendant's exclusive knowledge or access to certain facts, as [plaintiff] has alleged here, the complaint must also include specific allegations establishing all the required elements, including (1) the content of the omitted facts, (2) the defendant's awareness of the materiality of those facts, (3) the inaccessibility of the facts to the plaintiff, (4) the general point at which the omitted facts should or could have been revealed, and (5) justifiable and actual reliance, either through action or forbearance, based on the defendant's omission. "[M]ere conclusionary allegations that the omissions were intentional and for the purpose of defrauding and deceiving plaintiff[] . . . are insufficient for the foregoing purposes." [Citation.] (*Rattagan, supra*, (2024) 17 Cal.5th at pp. 43-44).

Defendant Ford argues plaintiff's complaint is lacking an allegation concerning the content of the omitted facts. The court does not agree. The complaint, at paragraphs 53 – 57, define an Engine Defect and specifically alleges defendant Ford failed to disclose this defect to plaintiff. In the court's view, these allegations sufficiently identify the content of the omitted facts.

B. DUTY TO DISCLOSE

Defendant Ford contends further that the sixth cause of action for fraudulent concealment is defective because plaintiff Harris has not pleaded any facts establishing defendant Ford had a duty to disclose. “The general rule for liability for nondisclosure is that even if material facts are known to one party and not the other, failure to disclose those facts is not actionable fraud unless there is some fiduciary or confidential relationship giving rise to a duty to disclose.” (*La Jolla Village Homeowners’ Assn. v. Superior Court* (1989) 212 Cal.App.3d 1131, 1151). To maintain a cause of action for fraud through nondisclosure or concealment of facts, a plaintiff must demonstrate that the defendant was under a legal duty to disclose those facts. (*OCM Principal Opportunities Fund, L.P. v. CIBC World Markets Corp.* (2007) 157 Cal.App.4th 835, 845). “Where . . . there is no fiduciary relationship, the duty to disclose generally presupposes a relationship grounded in some sort of transaction between the parties. Thus, a duty to disclose may arise from the relationship between seller and buyer . . . or parties entering into any kind of contractual agreement.” (*LiMandri v. Judkins* (1997) 52 Cal.App.4th 326, 337, internal citations omitted). In *Bigler-Engler v. Breg, Inc.* (2017) 7 Cal.App.5th 276, 311-312 (*Bigler*) the court wrote:

Our Supreme Court has described the necessary relationship giving rise to a duty to disclose as a “transaction” between the plaintiff and the defendant: “In *transactions* which do not involve fiduciary or confidential relations, a cause of action for non-disclosure of material facts may arise in at least three instances: (1) the defendant makes representations but does not disclose facts which materially qualify the facts disclosed, or which render his disclosure likely to mislead; (2) the facts are known or accessible only to defendant, and defendant knows they are not known to or reasonably discoverable by the plaintiff; (3) the defendant actively conceals discovery from the plaintiff.” (*Warner Constr. Corp. v. City of Los Angeles* (1970) 2 Cal.3d 285, 294 [85 Cal. Rptr. 444, 466 P.2d 996], italics added, fns. omitted). Other cases have described the requisite relationship with the same term. (See, e.g., *Hoffman v. 162 North Wolfe LLC* (2014) 228 Cal.App.4th 1178, 1187 [175 Cal. Rptr. 3d 820] (*Hoffman*); *LiMandri, supra*, 52 Cal.App.4th at p. 337 [“As a matter of common sense, such a relationship can only come into being as a result of some sort of transaction between the parties.”]). ***Such a transaction must necessarily arise from direct dealings between the plaintiff and the defendant; it cannot arise between the defendant and the public at large.*** (Emphasis added).

Defendant Ford contends there is no direct relationship alleged between it and plaintiff Harris because plaintiff Harris does not allege he purchased the Subject Vehicle directly from Ford. However, earlier in *Bigler*, the court cites with approval the following: “‘A duty to disclose facts arises only when the parties are in a relationship that gives rise to the duty, such as “‘seller and buyer, employer and prospective employee, doctor and patient, ***or parties entering into any kind of contractual arrangement.*”’” [Citation.]” (*Bigler, supra*, 7 Cal.App.5th at p. 311; emphasis added). Here, although plaintiff Harris does not allege he directly purchased the Subject Vehicle from defendant Ford, plaintiff Harris has alleged the existence of a contractual agreement (express written warranty) with defendant Ford and thus, a basis upon which a duty to disclose arises. (See Complaint, ¶¶7 – 8 and Exh. A).**

C. DAMAGES

Defendant Ford contends plaintiff Harris has not sufficiently alleged that he suffered any damage as a result of the alleged fraud. Defendant Ford acknowledges paragraph 60 of the complaint where plaintiff Harris alleges that had he known about the defects at the time of sale, “Plaintiff would not have purchased the Subject Vehicle.” This is a sufficient statement of a monetary damage that plaintiff suffered as a result of the alleged fraud. Although specificity is required in pleading fraud, the amount of such damage (purchase price) is reasonably inferred.

D. ECONOMIC LOSS

Finally, defendant Ford contends the claim for fraudulent concealment is barred by the economic loss rule. The economic loss rule provides that “where a purchaser’s expectations in a sale are frustrated because the product he

brought is not working properly, his remedy is said to be in contract alone, for he has suffered only economic losses.” (*Robinson Helicopter Company v. Dana Corporation* (2004) 34 Cal.4th 979, 988 (*Robinson*)). This doctrine hinges on a “distinction drawn between transactions involving the sales of goods for commercial purposes where economic expectations are protected by commercial and contract law, and those involving the sale of defective products to individual consumers who are injured in a manner which has traditionally been remedied by resort to the law of torts.” (*Ibid.*). The rule requires a purchaser to recover solely in contract for purely economic loss due to disappointed expectations, unless the purchaser can demonstrate harm above and beyond a broken contractual promise. (*Ibid.*).

Insofar as plaintiff Harris has asserted fraudulent concealment inducing his purchase of the Subject Vehicle, plaintiff’s sixth cause of action is not barred by the economic loss rule. (See *Sheen v. Wells Fargo Bank, N.A.* (2022) 12 Cal.5th 905, 923-924—“Not all tort claims for monetary losses between contractual parties are barred by the economic loss rule. But such claims are barred when they arise from—or are not independent of—the parties’ underlying contracts). (See *Robinson, supra*, 34 Cal.4th at p. 991 [holding that “the economic loss rule does not bar [the plaintiff’s] fraud and intentional misrepresentation claims because they were independent of [the defendant’s] breach of contract”]). *Rattagan* did not address application of the economic loss rule to claims of fraudulent inducement by concealment. (See *Rattagan, supra*, 17 Cal.5th at p. 41, fn. 12—“This court has granted review¹ in two other cases—*Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828 [300 Cal. Rptr. 3d 715], review granted February 1, 2023, S277568 and *Kia America v. Superior Court* (Feb. 3, 2022, D079858) (nonpub. opn.), review granted April 20, 2022, S273170—both of which involve claims of fraudulent inducement by concealment claims as well as the potential interplay with remedies available under the Song-Beverly Consumer Warranty Act (Civ. Code, § 1791 et seq.). We do not address these issues here.”). The California Supreme Court has saved that discussion for another day.

The court declines to follow the federal trial court decisions relied upon by defendant Ford. While instructive and perhaps even persuasive, “A written trial court ruling has no precedential value.” (*Santa Ana Hospital Med. Ctr. v. Belshe* (1997) 56 Cal.App.4th 819, 831; *Budrow v. Dave & Buster’s of California* (2009) 171 Cal.App.4th 875, 885; *Bolanos v. Superior Court* (2008) 169 Cal.App.4th 744, 761; *In re Molz* (2015) 127 Cal.App.4th 836, 845).

IV. CONCLUSION

Based on the foregoing, Defendant Ford’s motion for judgment on the pleadings is DENIED. The Court will prepare the formal Order.

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¹ Review of these two decisions has since been dismissed. (*Dhital v. Nissan North America, Inc.* (2024) 327 Cal.Rptr.3d 898 [559 P.3d 1083]; *KIA America, Inc. v. Superior Court* (Dec. 18, 2024, No. S273170) ___ Cal.5th ___ [2024 Cal. LEXIS 7098]).

Calendar Line # 11
Case Name Keenan O'Reilly vs Ford Motor Company et al
Case No. 25CV468879
Petition to Compel Arbitration I. <u>BACKGROUND</u> Plaintiff Keenan O'Reilly purchased a 2021 Ford Bronco Sport, vehicle identification number: 3FMCR9B68MRA75409 ("Subject Vehicle") in April 2021 from Knight Sunrise Hollywood LLC dba Sunshine Ford of North Hollywood (Dealership). (Complaint at ¶ 7). Plaintiff delivered the Subject Vehicle to Dealership for substantial repair on at least one occasion. (<i>Id.</i> at ¶ 47). Plaintiff alleges that Dealership "breached its duty to Plaintiff to use ordinary care and skill by failing to properly store, prepare, and repair the Subject Vehicle in accordance with industry standards." (<i>Id.</i> at ¶ 49). Plaintiff sued Dealership and Ford Motor Company in June 2025. The sole cause of action alleged against Dealership is for negligent repair. At issue is Dealership's petition to compel arbitration, based on the Retail Installment Sales Contract ("RISC") signed by Plaintiff and Dealership when the Subject Vehicle was purchased. II. <u>LEGAL STANDARD</u> Dealership maintains that the Federal Arbitration Act (FAA) governs the arbitration provision based on the language itself and because the agreement affects interstate commerce. (Mtn. to Compel Arbitration at p. 6:25-7:1). The arbitration provision states "[a]ny arbitration under this Arbitration Provision shall be governed by the Federal Arbitration Act (9 U.S.C. §§ 1 et seq.). and not by any state law concerning arbitration." (Declaration of Trina Clayton ["Clayton Decl."], Ex. A at p. 5). Under the FAA, the court's role is limited to determining "(1) whether a valid agreement to arbitrate exists, and if it does (2) whether the agreement encompasses the dispute at issue." (<i>Chiron Corp. v. Ortho Diagnostic Systems, Inc.</i> (9th Cir. 2000) 207 F.3d 1126, 1130). To determine "whether a valid contract to arbitrate exists," courts apply "ordinary state law principles that govern contract formation." (<i>Davis v. Nordstrom, Inc.</i> (9th Cir. 2014) 755 F.3d 1089, 1093 [citations omitted]; <i>Ingle v. Circuit City Stores, Inc.</i> (9th Cir. 2003) 328 F.3d 1165, 1170). Code of Civil Procedure section 1281.2 provides: "On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party to the agreement refuses to arbitrate such controversy, the court shall order the petitioner and respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that: [¶] The right to compel arbitration has been waived by the petitioner; or [¶] (b) Grounds exist for rescission of the agreement." In determining the threshold question of whether an arbitration agreement exists between the parties, the court employs a three-step burden shifting analysis. (<i>Iyere v. Wise Auto Group</i> (2023) 87 Cal.App.5th 747, 755 (<i>Iyere</i>); <i>Espejo v. Southern California Permanente Medical Group</i> (2016) 246 Cal.App.4th 1047, 1060). The party seeking to compel arbitration bears the initial burden of showing an agreement to arbitrate. If that burden is met, the burden shifts to the opposing party to show a factual dispute regarding the agreement's existence. If the opposing party does so, then the burden shifts back to the proponent of arbitration to show the existence of a valid agreement by a preponderance of the evidence. (<i>Iyere, supra</i>, 87 Cal.App.5th at p. 755). III. <u>ANALYSIS</u> A. A VALID AGREEMENT TO ARBITRATION EXISTS The arbitration provision in the RISC provides, in relevant part: